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RATES UNITED KINGDOM

GBP Money Markets: Bank of England is supporting liquidity

Liquidity conditions look very healthy, and stable bank reserves are helping money markets. We think the terminal rate priced in by markets is too high and prefer positioning further out the curve. Tweaks to the Discount Window Facility increase the system's resilience against liquidity shocks

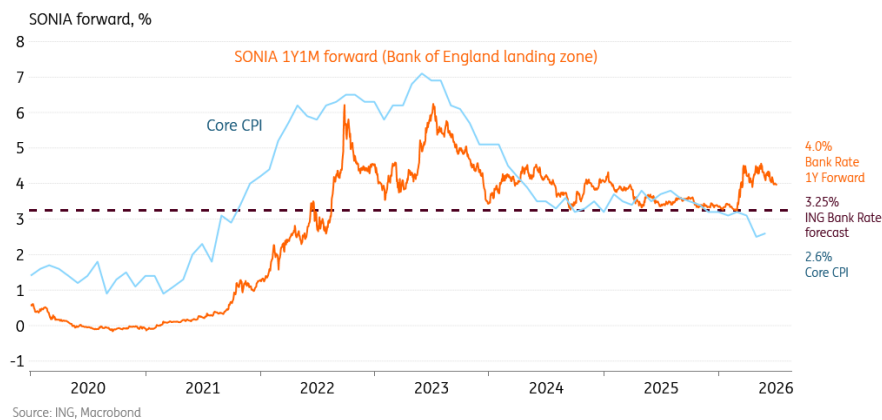


Stable reserves – thanks to the Bank of England's liquidity facilities – are supporting money market conditions

High Bank of England terminal rate favours terming out

Money market curves are still positioned for a Bank of England hike later this year, but the sharp decline in oil prices has turned sentiment more dovish. Only around 20bp of hikes are priced in for this year, and this could still go lower once the risks of second-round inflation effects are better understood. Whilst we still acknowledge the chance of another hike, we disagree with markets' perceived terminal rate of 4%. We expect price pressures to ease in 2027, allowing the BoE to cut the policy rate to 3.25%. As such, we see more value further out the curve.

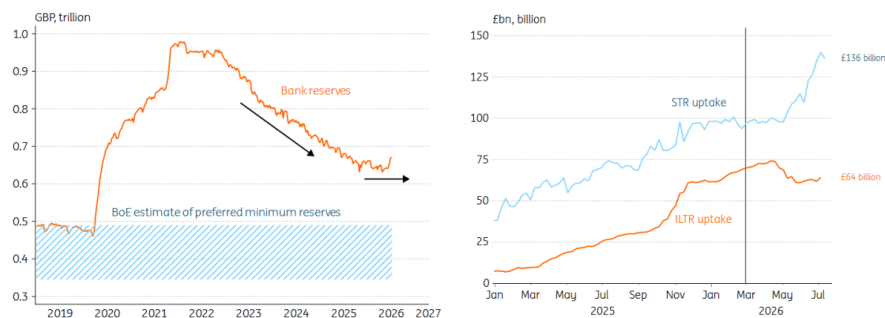
We think markets are pricing in a too high terminal Bank Rate



Liquidity conditions benefit from stable reserves

Despite the increased volatility in rates, liquidity conditions have remained very healthy. Overall bank reserves have actually increased thanks to a strong pickup in the Bank of England's liquidity facilities. The uptake of the Short-Term Repo (STR) increased to £134bn, almost double that in July last year.

Pickup in BoE liquidity facilities helped reserves stabilise for now



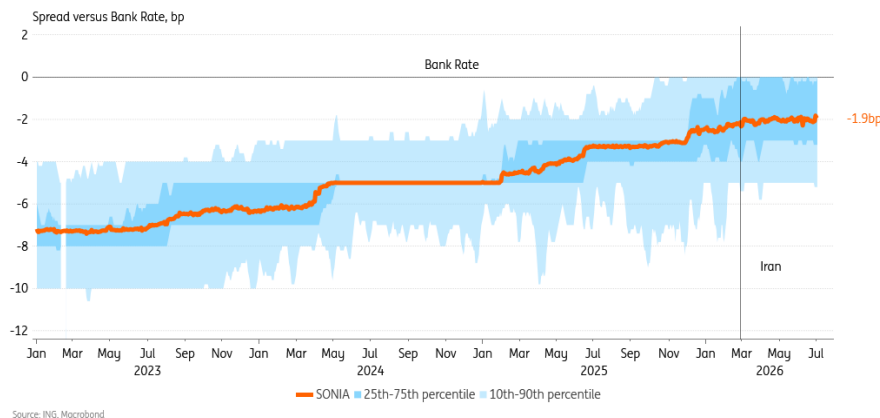
We've previously signalled that the [upward pressure on gilt yields](#) might trigger a review of the Bank of England's pace of quantitative tightening in September. Right now, the BoE targets £70bn of unwinding annually, which, all else equal, would reduce reserves by a similar amount. If this number gets reduced to say £50bn, the withdrawal of bank reserves from the system would proceed at a slower pace. In effect, this would further support liquidity conditions going forward.

Overnight deposit rates are comfortable at current levels

SONIA is now trading at just 2bp below the Bank Rate and could remain there for longer. The Bank Rate provides a soft ceiling which limits further upside. Around 25% of banks are now offering the Bank Rate for attracting deposits, but we also see around 10% of banks offering around 5bp below the Bank Rate. As reserves stay around current levels, we shouldn't see much movement in the pricing of SONIA.

Having said that, in the future, banks could start paying more than the Bank Rate to attract reserves. SONIA is based on unsecured borrowing between financial institutions. In contrast, obtaining liquidity from the Bank of England facilities requires collateral. The Short Term Repo facility, for example, requires high-quality collateral like gilts. So even though the STR is priced at the Bank Rate, obtaining funding through the market might still be preferred when possible.

SONIA seems comfortable around 2bp below the Bank Rate



The system is made more resilient against unexpected liquidity shocks

The Bank of England's efforts to keep liquidity risks to a minimum are also reflected in the latest tweaks to the Discount Window Facility. In contrast to the STR and ILTR, this window also allows for intra-week and intra-day liquidity. To discourage structural use, the Bank of England sets the pricing of this facility at a relatively high spread versus the Bank Rate. But the latest changes have reduced this premium. Where initially the facility would cost up to 150bp above the Bank Rate (for lowest collateral quality), this has been reduced to just 50bp. For the highest level of collateral quality, the spread is now just 15bp.

In effect, the Bank of England has strengthened the system against unexpected liquidity shocks. The new pricing of the DWF is less punitive than before, which should hopefully also reduce the stigma surrounding its use. These changes are also in line with the broader strategy to make central bank liquidity a more integral part of banks' liquidity planning. Easier and

cheaper access to BoE liquidity allows banks to operate at lower reserve levels.

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